

KEY TO THE ULTIMATE BLUEPRINT

$$\frac{\text{SALES}}{\text{ASSETS}} \times \frac{\text{PROFITS}}{\text{SALES}} \times \frac{\text{OCF}}{\text{PROFITS}} = \frac{\text{OCF}}{\text{ASSETS}}$$

Primary Strategy

↓ Inventory ↓ Accounts Receivable	↓ Operating Expenses ↓ COGS	↓ Inventory ↓ Accounts Receivable ↑ Accounts Payable ↓ Expenses	↓ Inventory ↓ Accounts Receivable ↑ Accounts Payable ↓ Expenses
↑ Sales ↓ Fixed Assets	↑ Sales	↑ Sales	↑ Sales ↓ Fixed Assets
↓ Inventory Days ↓ Receivable Days ↓ Fixed Assets	↓ MSG&A ÷ Sales ↓ COGS ÷ Sales	↓ Inventory Days ↓ Receivable Days ↑ Payable Days ↓ MSG&A ÷ Sales ↓ COGS ÷ Sales	↓ Inventory Days ↓ Receivable Days ↑ Payable Days ↓ MSG&A ÷ Sales ↓ COGS ÷ Sales ↓ Fixed Assets

Secondary Strategy

Metrics (KPI's)